INFORMAL DEBT RESTRUCTURING & REFINANCING PROPOSAL
Under RBI MSME Restructuring Framework & PMMY MUDRA Guidelines

Purpose: Algorithmic Replacement of Predatory Moneylender Usury (36%-60% p.a.) into Formal Credit (9.5% p.a.)

Creditor / Source	Principal (■)	Quoted Rate	Annual APR	Monthly Bleed	Damdupat Audit
Village Mahajan	**■120,000**	3 senkda	36.0%	**■3,600**	Standard
Fertilizer Dealer	**■50,000**	4 senkda	48.0%	**■2,000**	Standard
Local Relative	**■30,000**	2.5 senkda	30.0%	**■750**	Standard
Total Informal Debt	**■200,000**	**Weighted APR:**	**38.1% p.a.**	**■6,350/mo**	**Pure Bleed**

Institutional Replacement Facility	Parameters	Cash Flow Liberation Impact	Benefit
Approved Scheme Facility	**PMMY MUDRA (Kishor / Tarun)**	Prior Monthly Informal Interest Bleed	■6,350/mo (Zero Amortization)
Refinancing Term Loan	■200,000	New Amortizing Monthly Bank EMI	**■6,407/mo (Principal+Interest)**
Institutional Interest Rate	9.5% p.a. (Fixed)	**Net Monthly Cash Flow Relief (Surplus)**	**+■-57/month**
Consolidation Repayment Tenure	36 Months	**Discretionary Household Income Freed**	**+-0.2%**
Total 36-Month Bank Outflow	■230,637	**Cumulative Interest Saved Over Tenure**	**■197,963**

Statutory Protections & Escrow Settlement Protocol:

1. **The Usurious Loans Act, 1918 & State Money-Lenders Acts:** Unregistered moneylenders charging in excess of 18% simple interest cannot legally enforce recovery. Under the *Rule of Damdupat*, total interest collected cannot exceed initial principal.
2. **Direct Bank Settlement Protocol:** Loan proceeds are to be disbursed directly into moneylender accounts or via bank demand drafts in exchange for physical surrender of pledged security (land deeds, gold, post-dated cheques) and execution of an irrevocable No-Dues Certificate (NDC).